



SCIL saw single digit revenue growth on demand headwinds & high channel inventory in the system. Q4 is also expected to be sluggish as company is on wait & watch mode due to reversal of RM prices & company does not want to pile up excess high cost inventory (Likely to stabilise in 1-2 quarters). Key concern is LATAM market (Expected to grow at 30% CAGR) which is also facing demand headwinds due to high channel inventory. Capex of Rs.1,250Mn is on track with one key molecule for parent to start contributing revenue from Q4FY23 (Annualised revenue potential of Rs.1,000 Mn). 2 unique proprietary products under 9(3) to be launched in next quarter.

Key financial highlights

- Revenue at INR 7,537 Mn, +6% YoY / -33% QoQ
- EBITDA (Excl OI) at INR 1,204 Mn, -4.8% YoY / -57% QoQ
- EBITDA margin (Excl OI) at 16% vs 17.9% / 24.8% in Q3FY22 / Q2FY23
- PAT at INR 905 Mn, +1.7% YoY / -55% QoQ
- EPS stood at INR 1.81 vs 1.78 / 4.04 in Q3FY22 / Q2FY23

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	FY25E
Net sales	24,247	26,449	30,646	36,441	42,184	50,974
EBITDA	3,331	4,869	5,999	7,133	8,492	10,510
Margins	13.7	18.4	19.6	19.6	20.1	20.6
PAT (adj)	2,284	3,453	4,235	5,017	5,938	7,338
Growth (%)	23.4	68.8	22.6	18.5	18.4	23.6
EPS	4.10	6.92	8.49	10.05	11.90	14.70
P/E (x)	107	64	52	44	37	30
P/B (x)	18	14	11	9	8	6
EV/EBITDA (x)	65	44	36	30	25	20
RoE (%)	19	22	22	21	20	21
ROCE (%)	25	30	30	28	28	28
RoIC (%)	22	35	29	28	30	32

Source: Dalal and Broacha

Rating	TP (Rs)	Up/Dn (%)
BUY	588	35

Market data

Current price	Rs	434
Market Cap (Rs.Bn)	(Rs Bn)	217
Market Cap (US \$ Mn)	(US \$ Mn)	2,648
Face Value	Rs	10
52 Weeks High/Low	Rs	540.8 / 341.2
Average Daily Volume	('000)	265
BSE Code		542920

Bloomberg SUMICHEM.IN
Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-22	Sep-22
Promoters	75.00	75.00
Public	25	25
Total	100	100

Source:

% Shareholding	Dec-22	Sep-22
Promoters	75.00	75.00
Public	25	25
Total	100	100

Source: Bloomberg

Key Risks :

- Product Ban
- Effect of low or erratic rainfall
- Change in government policies
- Parent having delisted subsidiary companies in past

Bhavya Gandhi

+91 22 6714 1486

bhavya.gandhi@dalal-broacha.com

Quarterly Financials

(Rs.Mn)	Q3FY23A	Q3FY22	YoY Growth (%)	Q2FY23	QoQ Growth (%)
Revenue from Operations	7,537	7,072	7%	11,217	-33%
Other Income	132	62	114%	105	25%
Total RM Cost	4,873	4,415	10%	6,967	-30%
Employee Benefits Expense	523	518	1%	543	-4%
Other Expenses	936	873	7%	926	1%
Total Expenses	6,332	5,807	9%	8,436	-25%
EBITDA (Excluding Other Income)	1,204	1,265	-5%	2,780	-57%
Depreciation and Amortisation Expenses	114	114	0%	152	-25%
EBIT / PBIT	1,222	1,213	1%	2,734	-55%
Finance Costs	13	16	-19%	14	-5%
EBT/ PBT	1,209	1,197	1%	2,720	-56%
Tax Expense	304	307	-1%	705	-57%
Net Profit after Tax	905	889	2%	2,015	-55%
Adj Earning Per Share	1.81	1.78	2%	4.04	-55%
Margins (%)			(In bps)		(In bps)
Gross Margins	35.3%	37.6%	-223	37.9%	-254
EBITDA Margins (Excl Other Income)	16.0%	17.9%	-191	24.8%	-881
PAT Margins	11.8%	12.5%	-67	17.8%	-599
As a % to sales					
RM as a % to sales	64.7%	62.4%		62.1%	
EE Cost as a % to sales	6.9%	7.3%		4.8%	
Other exps as a % to sales	12.4%	12.4%		8.3%	

Source: Dalal & Broacha Research

Single digit revenue growth on back of sluggish demand environment because of delay in sowing due to extended monsoons, low pest infestation & increase in channel inventory

Did you know?

Sumitomo is a 400+ year old conglomerate which started business in Japan in early 16th Century. Sumitomo is one of the longest serving corporate group which has independent listed companies with widespread shareholding and run by its professional boards.

Key Points to note :

Demand outlook :

- > Demand during Q3FY23 was hit across industry due to delay in sowing because of extended monsoons, high channel inventory & low pest infestation (**Fungicide segment affected the most**)
- > Demand outlook was Q4 remains weak as channel inventory is still there & company is currently in wait & watch mode, may see certain Q3 spillover in Q4 (**To note : Last year Q4FY22 was extremely good so difficult to deliver good numbers on high base**)
- > Also LATAM is facing headwinds on account of high channel inventory (**Negative as this was expected to grow @30% CAGR for next few years in our model**)
- > Company trying to optimise product mix to mitigate demand risk

Product launches & update :

- > Company has rec'd 9(3) registration for 2 unique proprietary molecules & revenue likely to start contributing from Q4FY23 **(Positive) (Revenue contribution not known)**
- > For 9MFY23 company has launched total 3 molecules under 9(3) **(Positive)**
- > Supply of one key molecule for parent (SCC Japan) to start contributing from Q4FY23 **(Positive : Will contribute annualised revenue of Rs.1,000 Mn)**

Capex :

- > Earlier capex guidance of Rs.1,250 Mn maintained which will contribute Rs.2,500-3,000 Mn of topline **(Asset T/O of 2x)**

Other details:

- > Cash as on 31st December 2022 stands at Rs.8,920 Mn **(Positive)**
- > Domestic : Export mix = 78% : 22% (Vs 81% : 19%)

Valuation & Outlook

We believe even in such challenging situations Sumitomo Chemicals India Ltd has performed relatively well compared to peers (7% revenue growth ; 16% EBITDA margin, stable cashflows & healthy balance sheet position). Near term challenges continue across industry & for company. However this provides a good opportunity for investors to enter/revisit the stock on any correction as long term fundamentals continue to remain intact & Sumitomo has multiple levers of growth in place.

At CMP of Rs.433, SCIL trades at 29x FY25E EPS of Rs.14.70. We have not revised our estimates as we believe new product launches & export opportunity will off-set the medium term performance of the company. We have a **BUY Rating** on the stock & value SCIL at 40x FY25E EPS to arrive at a target price of Rs.588 assuming an EPS CAGR of 20% over FY22-25

(Also to note: Sumitomo Chemicals India Ltd has best in class corporate governance, strong parentage, strong revenue visibility (Supply to parent, Nufarm opportunity, launch of speciality products, generic domestic opportunity & launch of biorationals, MNC with independent board & superior execution capabilities which won't allow stock to correct beyond a point.)

Financials

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	FY25E
Net Sales	24,247	26,449	30,646	36,441	42,184	50,974
Operating Expenses	-16,076	-16,554	-19,080	-22,958	-26,576	-32,114
Employee Cost	-1,793	-1,943	-2,020	-2,182	-2,418	-2,673
Other Expenses	-3,047	-3,084	-3,547	-4,168	-4,698	-5,678
Operating Profit	3,331	4,869	5,999	7,133	8,492	10,510
Depreciation	-410	-466	-448	-640	-761	-899
PBIT	2,922	4,403	5,551	6,494	7,731	9,611
Other income	107	186	268	281	281	281
Interest	-55	-56	-62	-68	-75	-82
PBT	2,974	4,533	5,757	6,707	7,938	9,810
Profit before tax	2,665	4,533	5,757	6,707	7,938	9,810
Provision for tax	-618	-1,079	-1,522	-1,690	-2,000	-2,472
Profit & Loss from	-	-	-	-	-	-
Reported PAT	2,046	3,454	4,235	5,017	5,938	7,338
MI	-	-1	0	-	-	-
Owners PAT	2,046	3,453	4,235	5,017	5,938	7,338
Adjusted Profit	2,284	3,453	4,235	5,017	5,938	7,338
Balance Sheet (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	FY25E
Equity capital	4,991	4,991	4,991	4,991	4,991	4,991
Reserves	7,226	10,421	14,281	18,796	24,140	30,744
Net worth	12,218	15,412	19,272	23,787	29,131	35,736
MI	-	1	0	-0	-0	-0
Non Current Liabilites	445	496	610	670	741	825
Current Liabilites	8,399	10,810	10,214	12,373	14,200	16,972
TOTAL LIABILITIES	21,062	26,719	30,096	36,831	44,073	53,533
Non Current Assets	3,606	3,676	4,876	6,742	7,426	8,176
Fixed Assets	2,948	2,925	3,892	5,747	6,419	7,157
Right of Use Assets	349	311	363	363	363	363
Financial Assets	1	53	301	301	301	301
Deferred Tax Asset	213	204	216	223	229	236
Advances	53	8	8	8	8	8
Assets	41	176	95	100	105	110
Current Assets	17,456	23,044	25,221	30,089	36,647	45,357
Current investments	860	2,902	3,560	3,916	4,308	4,739
Inventories	5,880	7,544	9,378	11,007	12,742	15,397
Trade Receivables	8,498	8,482	8,431	9,984	11,557	13,966
Cash and Bank Balances	935	2,421	792	2,080	4,938	8,154
Advances	79	23	5	47	47	47
Other Financial Assets	218	169	1,745	1,745	1,745	1,745
Other Current Assets	986	1,503	1,310	1,310	1,310	1,310
TOTAL ASSETS	21,062	26,719	30,096	36,831	44,073	53,533

Cashflow (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	FY25E
Net Profit	2,046	3,453	4,235	5,017	5,938	7,338
Add: Dep. & Amort.	410	466	448	640	761	899
Cash profits	2,456	3,919	4,684	5,656	6,699	8,237
(Inc)/Dec in						
-Sundry debtors	-1,788	15	51	-1,553	-1,573	-2,408
-Inventories	926	-1,664	-1,834	-1,630	-1,735	-2,655
-Loans/advances	-41	-441	-1,209	-53	-12	-12
-Current Liab and Provisions	716	2,441	-620	2,164	1,832	2,778
Change in working capital	-187	352	-3,612	-1,072	-1,488	-2,298
CF from Oper. activities	2,269	4,271	1,072	4,585	5,210	5,939
CF from Inv. activities	-1,693	-2,498	-2,374	-2,850	-1,825	-2,068
CF from Fin. activities	-155	-287	-327	-446	-528	-656
Cash generated/(utilised)	422	1,485	-1,629	1,289	2,858	3,216
Cash at start of the year	513	935	2,421	792	2,080	4,938
Cash at end of the year	935	2,421	792	2,080	4,938	8,154
Ratios	FY20	FY21	FY22	FY23E	FY24E	FY25E
OPM	13.7	18.4	19.6	19.6	20.1	20.6
NPM	9.4	13.0	13.7	13.7	14.0	14.3
Tax rate	-23.2	-23.8	-26.4	-25.2	-25.2	-25.2
Growth Ratios (%)						
Net Sales	10.4	9.1	15.9	18.9	15.8	20.8
Operating Profit	14.6	46.1	23.2	18.9	19.1	23.8
PBIT	12.0	50.7	26.1	17.0	19.1	24.3
PAT	23.4	68.8	22.6	18.5	18.4	23.6
Per Share (Rs.)						
Net Earnings (EPS)	4.10	6.92	8.49	10.05	11.90	14.70
Cash Earnings (CPS)	4.92	7.85	9.38	11.33	13.42	16.50
Dividend	0.53	0.55	0.80	1.01	1.19	1.47
Book Value	24.48	30.88	38.61	47.66	58.36	71.59
Free Cash Flow	3.49	7.76	-0.72	4.17	6.83	7.90
Valuation Ratios						
P/E(x)	106	63	51	43	36	29
P/B(x)	18	14	11	9	7	6
EV/EBIDTA(x)	64	43	35	29	24	19
Div. Yield(%)	0.12	0.13	0.18	0.23	0.27	0.34
FCF Yield(%)	0.81	1.79	-0.17	0.96	1.58	1.82
Return Ratios (%)						
ROE	19%	22%	22%	21%	20%	21%
ROCE	25%	30%	30%	28%	28%	28%
RoIC	22%	35%	29%	28%	30%	32%

Source: Dalal & Broacha Research

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Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992 | : equity.research@dalal-broacha.com